Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
And
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

Gas Safety Panel

Dated: April 28, 2023

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I. Introduction

Q. Please introduce the members of the Gas Safety Panel.

A. The Panel members are Ross W. Turrini, Aaron J. Choo, and Mark Prewitt.

Q. Mr. Turrini, please state your name and business address.

A. My name is Ross W. Turrini. My business address is 25 Hub Drive, Melville, New York 11747.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc. ("Service Company"), a subsidiary of National Grid USA ("National Grid"), as New York Gas Chief Operating Officer. In this role, I oversee approximately 3,800 employees and more than $17.5 billion of gas infrastructure assets serving customers across New York State.

National Grid owns and operates three gas distribution companies in New York that provide retail gas service to more than 2.5 million customers in three service territories: Niagara Mohawk Power Corporation d/b/a National Grid ("Niagara Mohawk") serves areas of eastern and central New York; The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") serves Brooklyn, Staten Island, and parts of Queens in New York City; and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI are collectively referred to as the "Companies") serves customers on Long Island and the Rockaway Peninsula in Queens. I am responsible for all aspects of gas operations and construction including emergency/storm response, gas engineering, construction

activities, the operation and maintenance of gas transmission and distribution facilities, gas network strategy issues, the gas capital investment strategy, gas pipeline safety management, liquified natural gas ("LNG") and compressed natural gas ("CNG") operations, and energy procurement.

Q. Please describe your educational background and business experience.

A. I received a Bachelor of Science in Civil Engineering from the United States Military Academy at West Point in 1985. I have worked for National Grid and its predecessor companies (the Long Island Lighting Company and KeySpan Corporation) for 30 years in various roles in engineering, operations, and procurement. Prior to joining National Grid, I spent five years as an Officer in the United States Army Corps of Engineers and three years in engineering and construction roles at Brown & Root Services Corporation, an international engineering, procurement, and construction company.

Q. Have you previously testified before the New York State Public Service Commission ("Commission")?

A. Yes. I submitted pre-filed testimony in the 2016 KEDLI and KEDNY rate cases (Cases 16-G-0058 and 16-G-0059, respectively) (the "2016 KEDNY and KEDLI Rate Cases"), 2017 Niagara Mohawk rate case (Case 17-G-0239) (the "2017 Niagara Mohawk Rate Case"), the 2019 KEDNY and KEDLI rate cases (Cases 19-G-0309 and 19-G-0310, respectively) (the "2019 KEDNY and KEDLI Rate Cases"), and the 2020 Niagara Mohawk rate case (Case 20-G-0381) (the "2020 Niagara Mohawk Rate Case").

Q. Mr. Choo, please state your full name and business address.

A. My name is Aaron J. Choo. My business address is 25 Hub Drive, Melville, New York 11747.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company as the Vice President for National Grid's Downstate New York Gas Field Operations and Programs. I oversee approximately 1,600 employees and am responsible for the operations and maintenance of KEDNY and KEDLI's gas distribution systems. This includes gas metering, construction, field activities to conduct gas mandated programs, leak response, leak repair, instrumentation and regulation, damage prevention, and inspection programs.

Q. Please describe your educational background and experience.

A. I received a Bachelor of Science in Mechanical Engineering from Hofstra University. I also have a Master's degree in Business Administration from Baruch College in New York, New York. I have worked for National Grid and its predecessor companies (the Long Island Lighting Company and KeySpan Corporation) for 20 years in various roles in gas operations, customer and community management, and electric generation.

Q. Mr. Prewitt, please state your full name and business address.

A. My name is Mark Prewitt. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by Service Company as Vice President, Gas Pipeline Safety and Compliance. I am responsible for issues related to the safe operation of National Grid's New York gas systems, including compliance with federal and state pipeline safety regulations and implementation of the Companies' Pipeline Safety Management System ("PSMS"). My responsibilities also include working as the regulatory liaison on gas safety and compliance issues.

Q. Please describe your educational background and experience.

A. I received a Bachelor of Science in Chemical Engineering from the University of Houston in 1996. I have held several positions in the energy sector with varying levels of accountability, ranging from manager to senior director, over the past 24 years, including positions in engineering, regulatory oversight, and safety. Prior to my current role, I served as the Senior Director of Safety, Process Safety Management, and Security for DCP Midstream, an oil and gas company headquartered in Denver, Colorado, where I was responsible for overseeing a team of over 50 employees tasked with the oversight and implementation of processes and programs to ensure the safe operation of DCP Midstream's systems. I have been in my current role with National Grid for over three years.

Q. Have you previously testified before the Commission?

A. Yes. I submitted pre-filed testimony in the 2020 Niagara Mohawk Rate Case.

Q. What is the purpose of the Panel's testimony?

A. The Panel's testimony addresses programs and performance metrics related to the safe operation of the Companies' gas systems during the 12-month period ending March 31, 2025 ("Rate Year"), and the three subsequent 12-month periods ending March 31, 2026 ("Data Year 1"), March 31, 2027 ("Data Year 2"), and March 31, 2028 ("Data Year 3") (Data Year 1, Data Year 2, and Data Year 3 are collectively referred to as the "Data Years").

Specifically, the Panel's testimony addresses: (i) the Companies' proposals for enhanced and incremental gas safety and compliance programs; and (ii) the Companies' proposals with respect to gas safety performance metrics.

Q. Before discussing the specific programs presented in this rate filing, please discuss the Companies' commitment to safety and compliance.

A. The Companies' top priority is the safety of the public and our employees. To that end, the Companies strive for continuous improvement in safety performance by identifying, assessing, and managing risks on the gas system – and making prudent investments in gas infrastructure to address these risks. As discussed by KEDNY and KEDLI's respective Gas Infrastructure and Operations Panels ("GIOP"), KEDNY proposes to invest $1.013 billion in gas infrastructure in the Rate Year to meet increasing regulatory requirements, enhance pipeline safety, and maintain and improve the reliability of its gas distribution system. Similarly, KEDLI is proposing to invest $671.469 million in the Rate Year in its gas network to support safe operations and enhance system performance. The Companies

proposals include the retirement of approximately 166 miles of leak-prone pipe ("LPP") for KEDNY and 456 miles for KEDLI over a four-year period to enhance system safety, reliability, and deliver meaningful emissions reductions. The Companies are also proposing investments in remote methane detection programs, pipeline integrity management programs, meter relocation programs, and other programs to enhance public safety.

Q. Please describe the Companies' safety and compliance performance.

A. KEDNY and KEDLI have historically performed well against their performance targets. Specifically, each year, Department of Public Service Staff ("Staff") issues an annual report on local distribution companies' ("LDCs") gas reliability performance in relation to established metrics. KEDNY and KEDLI's performance highlights, as reflected in the annual reports through 2021, include: (i) KEDNY showed a significant improvement of 41.3 percent in total damages and 47.2 percent improvement in excavator error damages; (ii) a reduction in emergency response times to gas leak and odor calls within 30 minutes every year since 2015; and (iii) KEDLI and KEDNY's total leak backlogs improved 14.6 percent and 8.5 percent, respectively. The Staff report for 2022 will not be released until later in 2023; however, the Companies recently reported their performance against safety metrics to Staff for calendar year ("CY") 2022 and have again met, and in some cases outperformed, their safety metric targets for LPP Removal, Leak Management, Damage Prevention, and Emergency Response.

Each year, Staff audits the Companies' adherence to the Commission's safety regulations in the field, as well as the Companies' records and documentation. Over the past several years, the Companies have worked to improve their compliance performance. KEDLI has consistently improved its compliance performance in recent years as measured by the number of audit violations. Although KEDNY has experienced minor increases in violations over the past three years, the total number of violations remains relatively low. The Companies are committed to continued improvement in safety compliance performance in the coming years.

Q. What safety and compliance process improvements have the Companies implemented over the last several years?

A. Following an independent assessment ("IA") of safety and compliance processes by an industry expert, the Companies have worked toward systematically improving their safety and compliance performance. Over the past several years, the Companies have made considerable progress in implementing the recommendations of the IA, including additional field inspections and damage prevention enhancements, and efforts to enhance training and simplify procedures and practices in the field.

The Companies have also implemented the American Petroleum Institute's ("API") recommended pipeline safety management standards (Recommended Practice 1173 ("RP 1173")), which is a comprehensive framework for identifying and managing risks on the Companies' gas systems, and aligns with the recommendations of the IA. Continued efforts to drive improvement in risk management and compliance performance will ensure

the program's long-term success and provide incremental safety benefits for the Companies and our customers. As part of that continuous improvement, the Companies are proposing an incremental Gas Pipeline Safety Management Program ("PSMP"), discussed below, to hire incremental FTEs to support further improvements and maturities in the PSMS management process.

Q. How do gas safety programs benefit customers and align with the goals of the Climate Leadership and Community Protection Act ("CLCPA")?

A. The CLCPA establishes emissions reductions targets and other initiatives to facilitate New York State's clean energy transition. Gas networks will play an important role in an energy transition that is safe, affordable, and equitable for all customers. The Commission has stressed that failure to maintain safe and adequate electric and gas systems throughout the state would undermine the intent of the CLCPA. The Companies' proposed gas safety investments will ensure the continued safety and reliability of service to customers. Moreover, the proposed safety investments align with CLCPA objectives to reduce greenhouse gas emissions and improve long-term air quality.

II. <u>Enhanced and Incremental Gas Safety and Compliance Programs</u>

Q. Please describe the Companies' proposed enhanced and incremental gas safety and compliance programs.

A. The Companies continuously seek to enhance safety by delivering programs designed to address emerging safety concerns. For example, under the rate plan established in the 2019 KEDNY and KEDLI Rate Cases, the Companies implemented enhancements to their

construction safety inspections requirements, quality assurance ("QA") re-dig inspections, fusion inspections, and a program to distribute residential methane detectors ("RMD") and conduct customer outreach regarding the RMD devices. The Companies will support and enhance these efforts during the Rate Year and Data Years. In addition, the Companies are committed to efforts that will improve and expand public awareness and public engagement related to gas safety, including a new, targeted pipeline safety direct mailing campaign in the KEDNY territory as discussed below.

Safety incidents in the gas industry, including those in San Bruno, California, Allentown, Pennsylvania, East Harlem and Second Avenue, New York, and Merrimack Valley, Massachusetts, reinforce the continued need to improve and enhance gas safety programs to mitigate risk. Additional gas safety investments are necessary to comply with new mandated safety requirements, as well as to implement best practices based on lessons learned from prior industry incidents.

The Companies propose to enhance or implement several safety and compliance-related programs in the Rate Year:

- Operator Qualification ("OQ") Program;
- Advanced Communication Infrastructure Program;
- Meter Relocation Program;
- Advanced Leak Detection ("ALD") Program;
- Inside Service Line Inspections;
- Voluntary Integrity Management Program ("IMP");
- Damage Prevention Program Enhancements;

- Gas Pipeline Safety and Compliance Improvements; and
- Gas Safety Public Awareness Program.

Each of these programs are described in detail below. The cost information for these programs is set forth in Exhibit __ (GIOP-1) and Exhibit __ (GIOP-5) for capital programs, and Exhibit __ (GIOP-7) for incremental operating and maintenance ("O&M") investments. Exhibit __ (GIOP-8) sets forth the incremental full-time equivalents ("FTEs") required to support these programs, and the costs for incremental FTEs are provided in Exhibit___(RRP-3), Schedule 41 and supported by the Revenue Requirements Panel ("RRP").

A. <u>Operator Qualification Program</u>

Q. Please describe the Operator Qualification Program and the Commission's recent changes to OQ requirements in New York.

A. Operator qualifications require that utilities develop and maintain training and testing programs for individuals performing "covered tasks" governed by both PHMSA's regulations (49 CFR § 192.805) and the Commission's gas safety regulations (16 NYCRR Part 255). On March 18, 2022, in Case 19-G-0736, the Commission issued a "Memorandum and Resolution Adopting Amendments" to its gas safety regulations in 16 NYCRR Part 255 (the "OQ Order"). Among other items, the OQ Order expanded the definition of a "covered task" to include additional tasks performed on pipeline facilities connected to the gas system; modified requirements for trainings and evaluations; standardized OQ requirements for utility employees and contractors; required program

effectiveness reviews; and added records retention requirements. The OQ changes are intended to ensure that individuals working on a pipeline have the knowledge, skills, and ability to perform a covered task and recognize and react to any abnormal operating conditions they may experience. The regulatory changes in the OQ Order materially impacted the ways that utilities are required to conduct their operations and OQ programs.

Pursuant to 16 NYCC § 255.604(c), utilities must have written OQ programs that comply with the revised regulations in place by April 1, 2023, and the Commission noted that it was "imperative for operators to implement the required changes, as discussed above, in an expeditious manner to ensure that the implementation and training of personnel, as defined by the operators OQ programs, is not delayed." Given the need to begin implementing the required changes immediately after issuance of the order and recognizing that the OQ program changes would result in incremental costs beyond what was included in then effective utility rate plans, the OQ Order stated that "[a]ny incremental costs [incurred to implement the OQ changes] may be deferred pursuant to the terms of the individual utility's rate plan."

Q. Please describe the program enhancements required to the OQ Order.

A. The Companies worked with the Northeast Gas Association ("NGA"), other New York State gas utilities, and Staff following issuance of the OQ Order to create implementation plans to timely and efficiently incorporate the new requirements into the Companies' operation practices and procedures. The Companies also determined the resources and associated costs to comply with the revised OQ requirements, which involves a

combination of incremental capital expenditures, non-labor operating expenditures, and FTEs in the Rate Year and Data Years.

Capital expenditures will be required to establish new permanent testing labs and training facilities as well as purchase tools and equipment (*e.g.* inspection and repair equipment, and pipe preparation and installation materials). KEDNY's OQ programs require capital investments of approximately $12.821 million in the Rate Year, $12.979 million in Data Year 1, $13.219 million Data Year 2, and $13.467 million in Data Year 3. KEDLI requires capital investments of approximately $8.858 million in the Rate Year, $8.939 million in Data Year 1, $9.104 million in Data Year 2, and $9.275 million in Data Year 3. The costs for the OQ programs are shown separately in KEDNY and KEDLI's Exhibit __ (GIOP-1). However, the costs will ultimately be reflected in the total costs of the Companies' various capital projects and programs.

Non-labor operating expenditures are required to secure temporary training facilities; conduct the required training and hands-on evaluations; develop and update training curriculum, review modules, and performance evaluations; and perform other work required by the OQ Order to support employees and contractors. For KEDNY, the operating expenditures total $1.335 million in the Rate Year, $1.533 million in Data Year 1, $1.932 million in Data Year 2, and $2.343 million in Data Year 3. KEDLI's operating expenditures are $0.765 million in the Rate Year, $0.766 million in Data Year 1, $0.780 million in Data Year 2, and $0.794 million in Data Year 3.

Incremental FTEs will be required to effectively manage the increased workload associated with the expanded OQ requirements. The FTEs will design and maintain program materials, enhance program controls, conduct assurance activities, manage program scheduling and oversight (including both employee and contractor qualifications), conduct additional instructor led training and hands-on performance evaluations, and are necessary to comply with the new OQ evaluation ratios. Incremental FTEs are also required to support field operations during periods of qualification. To meet the requirements of the OQ Order, field workers will spend additional time engaged in training and evaluation activities (*e.g.*, longer performance evaluations), which decreases workforce field availability. Therefore, incremental FTEs are needed to ensure that the Companies have sufficient support in the field to deliver on their work plans. In total, KEDNY and KEDLI will require 18 and 17 incremental FTEs, respectively, to support the expanded OQ workload. The costs for these FTEs are shown in Exhibit___(RRP-3), Schedule 41 and supported by the RRP.

Q. Have the Companies already incurred incremental costs to implement the requirements in the OQ Order?

A. Yes. Immediately after issuance of the OQ Order, the Companies began to develop and implement programs to comply with the new OQ requirements. These efforts resulted in incremental costs beyond what was included in the Companies' existing rate plan. Incremental costs included: (i) program changes required to comply with the new OQ requirements; (ii) development of training and evaluation materials; and (iii) acquisition and/or establishment of training resources. Pursuant to Section 8.1.3 of the Joint Proposal

approved in the 2019 KEDNY and KEDLI Rate Cases, the Companies are permitted to defer all cost increases resulting from the OQ Order for future recovery from customers. The Companies will continue to incur (and defer) these costs through the start of the Rate Year.

B. Advanced Communication Infrastructure

Q. Please describe the Companies' proposal to implement advanced communication networks and metering programs.

A. The Companies propose to implement three programs that will improve customer safety, enhance system functionality, and provide real-time gas system feedback to allow for more effective emergency response and potentially minimize the impact and duration of leaks and associated gas safety issues. These programs provide increased functionality and safety benefits for customers, respond to feedback from Staff, and incorporate some of the best practices from Consolidated Edison's Advanced Metering Infrastructure ("AMI") program. The three programs proposed by the Companies are the: (i) Advanced Communication Infrastructure – AMI Network Program; (ii) Advanced Communication Infrastructure – Smart Meter Replacement Program; and (iii) Advanced Communication Infrastructure – RMD Program.

Q. Please describe the Advanced Communication Infrastructure –AMI Network Program.

A. This program will deploy a gas AMI network in the Companies' service territories over the next seven years. The AMI Network will enable key investments, including smart

ultrasonic gas meters and connected RMDs, which will provide the Companies with near-immediate alerts regarding potential safety issues and enhance our emergency response capabilities. Implementation of smart metering with an AMI Network will also enable additional functionality in the future (*e.g.*, inactive account management and real-time meter reads).

The AMI Network Program includes two phases. Phase One involves analysis of the most cost-effective AMI network option and development of a detailed business case and IT solution plan. The Companies each request incremental O&M costs of $1 million annually in the Rate Year and Data Year 1 to complete the Phase One work. If Phase One is approved in this rate filing, Phase Two will involve upgrading IT back-office system integrations, deployment of a field area network ("FAN"), and completing the associated procurement and FAN installation. KEDNY proposes capital investments of $1.991 million in Data Year 2 and $3.484 million in Data Year 3 for Phase Two. KEDLI proposes capital investments of $2.710 million in Data Year 2, and $6.310 million in Data Year 3 for Phase Two. Incremental O&M will also be needed to support Phase 2 in Data Year 2 and Data Year 3 for pole rentals, application updates, licensing fees, and system monitoring.

Q. What is the Companies' proposal for the Advanced Communication Infrastructure – Smart Meter Replacement Program?

A. Smart gas meters contain additional safety functionality not provided with current gas meters, including the capability to detect and automatically shut off the gas supply due to

over-pressure, over-temperature, excess flow, and air intake. Smart gas meters also have a shutoff valve to remotely stop the flow of gas in emergency situations using the AMI communication network, and they provide a second layer of protection against over pressurization in low-pressure systems to mitigate the risk of gas safety issues. This program includes funding for the procurement, testing, processing, IT back-office system integrations, and proactive replacement of traditional diaphragm meters with smart gas meters in the service territories, with initial deployment in low-pressure areas. The meters have a 20-year life and can be deployed proactively for use in certain safety situations, such as inactive accounts, leaks, and gas emergencies.

The Companies plan to deploy the meters in Data Year 2 to allow for the implementation of the AMI Network and maximize the real-time communication benefits that AMI will provide.

The capital costs to purchase and integrate the smart meters into the Companies' systems are set forth in Exhibit __ (GIOP-1). Specifically, KEDNY proposes to spend $6.130 million in Data Year 2 and $9.828 million in Data Year 3 to fund smart meter procurement and installation. KEDLI proposes to spend $3.568 million in Data Year 2 and $3.797 million in Data Year 3 on procurement and installation. Minor, incremental O&M costs are also requested in Data Years 2 and 3 to support a small percentage of meters that, due to location, will utilize cellular functionality to connect to the Companies' systems rather than the AMI Network. Installation of the smart meters will require 22 incremental FTEs in Data Years 2 and 3 for the Companies to install the new meters and complete the meter changes required to remove existing meters.

Q. Please explain the Advanced Communication Infrastructure – RMD Program.

A. The Companies are proposing a RMD Program that involves the installation of connected RMDs near customer meters throughout the Companies' service territories to enable real-time communication regarding potential gas leaks. The connected RMDs will monitor methane levels at customer premises and sound alarms locally, as well as remotely to the Companies, if a gas reading is above the allowable limit. This real-time transfer of information regarding potential gas leaks will facilitate focused emergency response and customer safety, and provide the Companies with the ability to detect and respond to a potential leak at a customer's premises prior to any third-party reports. Additionally, real-time leak detection will allow for timely leak repair to mitigate the potential safety and environmental issues that may result from an undetected leak. RMDs are not impacted by "odor fade," which can make gas leaks undetectable by smell alone.

This program will implement three types of RMDs in the Companies' service territories: connected Wi-Fi RMDs, cellular RMDs, and fixed network (AMI-connected) RMDs. The type of RMD installed at a property will depend on the reliability and availability of communication networks. Installation of multiple RMD types will allow the Companies to provide RMDs regardless of existing Wi-Fi capabilities. A diversified approach will also help mitigate potential supply chain issues experienced in the Companies' prior RMD programs. Full end-to-end communication with RMDs will be established upon implementation of the AMI Network and IT system integration.

As is shown in Exhibit __ (GIOP-1), KEDNY proposes to spend $3.305 million in the Rate Year, $6.742 million in Data Year 1, $10.315 million in Data Year 2, and $14.028 million in Data Year 3 to design, develop, implement, and maintain the RMDs. KEDLI proposes to spend $3.580 million in the Rate Year, $7.709 million in Data Year 1, $12.002 million in Data Year 2, and $16.042 million in Data Year 3 on these capital-related activities. Exhibit __ (GIOP-7) provides the incremental O&M costs required for the purchase and installation of the static and Wi-Fi RMD devices in connection with this program.

Q. Is this program different than the RMD program adopted in the 2019 KEDNY and KEDLI Rate Cases?

A. Yes. Under the current Joint Proposal, the Companies distribute plug-in devices, similar to smoke and carbon monoxide detectors, with accompanying gas safety brochures to customers. While this type of device provides customers with awareness of potential gas leaks, it does not provide real-time feedback to the Companies. In addition to the limited functionality, as indicated in the Companies' annual RMD filings, supply chain issues have impacted the Companies' ability to timely procure and distribute the plug-in devices. Therefore, the Companies do not propose to continue the existing RMD program. The Companies have adjusted the Historic Test Year to remove the costs associated with the existing RMD program, as reflected in Exhibit __ (RRP-3), Schedule 2 to the testimony of KEDNY and KEDLI's RRPs.

Q. Are there any additional benefits to the Advanced Communication Infrastructure – RMD Program?

A. Yes. As discussed in the Inside Service Line Inspections section below, installation of connected RMDs will provide real-time leak information that is currently collected through annual or periodic leak surveys and inspections. If adopted, this program would reduce the frequency and costs associated with those inspections, as shown in the project data sheets in Exhibit __ (GIOP-5).

C. <u>Meter Relocation Program</u>

Q. Please explain the Companies' obligations related to meter relocations and recent experience with meter relocation work.

A. Beginning in the 2016 KEDNY and KEDLI Rate Cases and continuing in the 2019 KEDNY and KEDLI Rate Cases, the Companies committed to relocating inside meters to the outside of a premises, where possible, subject to certain exceptions enumerated in the relevant Joint Proposal, such as a customer's refusal or conflicting municipal requirements. The Companies also committed in the Joint Proposal adopted in the 2019 KEDNY and KEDLI Rate Cases to provide annual reporting on inside meter relocations, distribute customer meter refusal acknowledgment forms, and propose a plan outlining their plans to relocate inside meters outside of premises for inclusion in the next rate case.

Meter relocations over the past several years have been conducted in conjunction with the Companies' Proactive Main and Services Replacement Programs. In KEDLI's service territory, meter relocations have generally been successful, with approximate 14,444

relocations completed between 2018 and 2023. However, as discussed in the direct testimony of the KEDNY and KEDLI's Gas Infrastructure and Operations Panels, space constraints and New York City Department of Buildings ("DOB") code interpretations have prevented KEDNY (and a limited area of KEDLI's service territory) and customers from completing the work necessary to accommodate meter relocation. The Companies have been meeting with New York City to discuss the importance of the program; however, the parties remain at an impasse. Given the limited success in New York City, and safety benefits associated with moving meters outside, the Companies developed a standalone meter relocation program (in addition to the relocations performed through the main and services replacement program), to address some of the issues experienced in the field that have limited the success of prior meter relocation efforts.

Q. Please discuss the Companies' proposal for an expanded meter relocation program.

A. The programs will provide annual funding to relocate a targeted number of meters, subject to the exceptions to meter relocation provided in the 2019 KEDNY and KEDLI Rate Cases, including customer consent. Under the programs, the Companies will proactively reach out to customers with inside meters when conducting other field work in an area or at a premise, such as service renewals, regulator replacements, and leak repairs. Customers who consent to meter relocation would be put into a queue and the Companies would complete the meter relocations concurrently with the associated field work. The proposed program provides additional opportunities to relocate meters. Among other benefits, meter relocations to exterior locations will allow the Companies to complete periodic inspections

and meter work without needing to coordinate with a customer to provide access and provide unimpeded access for emergency response personnel in the event of a safety issue.

Q. What are the costs of the expanded meter relocation program?

A. KEDNY proposes capital investments of $2.775 million in the Rate Year, $5.717 million in Data Year 1, $11.776 million in Data Year 2, and $12.129 million in Data Year 3. KEDLI proposes to spend $5.250 million in the Rate Year, $10.815 million in Data Year 1, $18.566 million in Data Year 2, and $19.123 million in Data Year 3. KEDNY and KEDLI will require a total of four and eight FTEs, respectively, across the Rate Year and Data Years to complete the expanded scope of meter relocation work. The program costs were developed using the Companies' historical average costs to complete meter relocations over the past three years.

Q. Do the Companies have any additional proposals related to meter relocation?

A. Yes. The Companies propose to continue meeting with the DOB and Staff to develop a resolution to the current jurisdictional issues preventing meaningful meter relocation. The Companies will also follow any related Commission or other regulatory proceedings that affect meter relocation requirements, including jurisdiction, which may impact future relocation work. The Companies are aware that Consolidated Edison may be filing a petition with the Commission to resolve some of the jurisdictional issues experienced with meter relocations in New York City. If such a petition is filed, the Companies will consider submitting additional comments in that proceeding regarding its recent efforts and experiences to inform the record.

D. Advanced Leak Detection Program

Q. Please explain the Companies' existing Enhanced High Emitter Methane Detection Program.

A. To implement the Enhanced High Emitter Methane Detection Program approved in the 2019 KEDNY and KEDLI Rate Cases, the Companies hired advanced leak detection contractors to survey the Companies service territories for possible high-emitting leaks within areas previously identified as possible high-leak concentration areas. The survey information was to be used by the Companies to prioritize possible high-emitting leaks for repair as part of their capital programs. The Companies selected three vendors to survey approximately 500-600 pipeline miles in the same regions of their service territories using cavity ringdown spectroscopy ("CRDS") as a control to minimize the impact of external influences in measuring the effectiveness of the technologies. The survey results highlighted significant differences between two vendors in the same service area, with one vendor identifying nearly ten times the number of high-emitting leaks as the other. The Companies then conducted follow-up investigations at the leak indication areas noted by the vendors. Only a subset of the leak indication areas identified new leaks, with another subset of the areas identifying leaks already within the Companies' leak backlogs. Moreover, many of the leak indication areas did not result in the discovery of any leaks. The Companies repaired most leaks identified by this effort, and the remaining leaks are in the leak management queue to be addressed in accordance with applicable regulatory requirements.

Although the program provided the Companies with leak survey data regarding potential high-emitting leaks, the vendor results using CRDS were varied at best. In May 2022 and April 2023, the Companies filed their annual program reports in Cases 19-G-0309 and 19-G-0310, noting the marked discrepancies in vendor data and outlining concerns with the accuracy and reliability of the relatively nascent technology. The Companies also held meetings with the Environmental Defense Fund ("EDF") and other interested stakeholders to discuss the survey methodology, results, and the Companies' concerns. The Companies will continue to collaborate with EDF and other interested parties on programs to evaluate and deploy ALD technologies in the future.

Q. Are the Companies proposing any leak detection and remediation programs in this case?

A. Yes. Reducing methane emissions from the gas network is a priority for the Companies as such reductions will improve safety and system performance, provide environmental benefits, and support climate goals, including the CLCPA. To that end, the Companies propose a program to identity and remediate high-emitting leaks during the Rate Year and Data Years. Industry studies have demonstrated that high-emitting leaks are responsible for most methane emissions and, therefore, identification and reduction of these leak types will contribute to meaningful emissions reductions on the gas system.

The survey component of the Companies' ALD Program will continue the Enhanced High Emitter Methane Detection pilot program in FY 2024 using another two vendors to evaluate the technology and effectiveness of the vendors' surveys. This program will only

survey for high-emitting leaks and will not be used to survey or repair other leaks on the Companies' systems. The results of this survey will be provided to the Companies for follow-up investigation. The Companies will also continue to separately evaluate the effectiveness of other leak detection technologies, like satellite technology, to identify high-emitting leaks during this time for potential incorporation into their leak survey programs.

After receipt of additional vendor data, the investigation and repair component of the ALD Program will validate whether the survey indications were the product of a high-emitting leak or resulted from other external sources (*e.g.* third-party activity, weather, or wind patterns). If a high-emitting leak is confirmed, the program will track the location and repair the corresponding leaks.

The ALD Program requires incremental capital expenditures and O&M costs. For KEDNY, O&M costs in the amount of approximately $2.503 million annually in each of the Rate Year and Data Years are needed to survey the systems, complete a leak investigation, and make any associated repairs. Similarly, KEDLI requires approximately $1.939 million annually to support these O&M activities. Both Companies require minor incremental capital investments annually over the term of the Rate Year and Data Years to complete certain leak repairs. The Companies also propose to hire four FTEs for KEDNY and three for KEDLI to repair the high-emitting leaks discovered in connection with this program.

E. Inside Service Line Inspections

Q. Please explain the mandated inside service line inspection intervals.

A. In 2015, the Commission issued a "Memorandum and Resolution Adopting Gas Safety Regulation Amendments" adopting a new definition of "service line" in Case 14-G-0357. Under the former definition in New York's pipeline safety regulations (16 NYCRR § 255.3(29)), the service line extended "to the first accessible fitting" inside the customer's building where a meter is located. Under the revised definition, the service line extends "to the outlet of the customer meter or at the connection to a customer's piping, whichever is further downstream where a meter is located within the building." In April 2017, the Commission issued its "Order Establishing Statewide Inspection Schedules and Procedural Requirements" in Case 15-G-0244 ("Inside Service Inspection Order") that established mandated leak survey and corrosion inspection intervals for inside jurisdictional piping and appurtenances for baseline and follow-up inspections. The requirements of the Inside Service Inspection Order were included in the Commission's regulations.

Leak surveys are governed by the Commission's regulation in 16 NYCRR § 255.723(b), which requires that leak surveys in business districts be completed annually and non-business districts once every three or five years. Atmospheric Corrosion Inspections ("ACIs") are governed by 16 NYCRR § 255.481. In March 2022, the Commission's OQ Order modified the inspection cycles for ACIs in 16 NYCRR § 255.481. The modification extends the required ACI cycles for service lines to once every five years (not to exceed sixty-three months) for both business district ("BD") and non-BD locations.

Q. Please describe the Companies' Inside Service Line Inspection Program.

A. The Companies conduct their Inside Service Line Inspection Program on a multi-year rolling basis, with a subset of the total meter and service population identified and inspected annually for BD and every five years for non-BD locations. The Companies conduct leak surveys and ACIs on inside services at the same time, and, where possible, walking surveys are bundled with inside service line inspections to align atmospheric corrosion inspections and leak surveys on the same cycle for all mains, services, and inside/outside meter sets to reduce costs associated with multiple visits to the same premises.

Q. What are the Companies' proposals for the Rate Year and Data Years?

A. The Companies propose to update the costs of the Inside Service Line Inspection program based on the completion of the baseline program and to reflect the new regulatory cycle intervals. The resulting change in O&M costs for KEDNY is an increase of $1.321 million in the Rate Year, and a decrease of $4.679 million in Data Year 1, $2.971 million in Data Year 2, and $8.581 million in Data Year 3. KEDLI's O&M costs decrease by $0.574 million in the Rate Year, $1.831 million in Data Year 1, $1.018 million in Data Year 2, and $2.407 million in Data Year 3. The O&M totals above represent program totals for BD and non-BD inspections.

The Companies will continue to assess the $100 non-access penalties against customers who refuse access to complete these inspections. The Companies have forecast the revenue associated with the penalties in the Rate Year and Data Years based on a historic ratio of penalties billed to customers. The Companies then applied that ratio to the anticipated

number of meters that will be inspected in the Rate Year and Data Years under the Companies' Service Line Inspection work plan to derive the number of customers assessed a penalty in those years. This calculation is shown in Exhibit __ (RDP-15), Workpaper 4 along with the projected Rate Year and Data Years forecasts. The forecast revenue is included as an offset to the revenue requirements in the Rate Year and Data Years.

Q. Do the Companies have any other proposals related to these programs?

A. Yes. As discussed above, installation of connected RMDs through the Advanced Communication Infrastructure Program will provide the Companies with continuous and up-to-date information regarding gas leaks and the presence of methane within customer premises. This type of information is currently collected by the Companies for BD locations through annual leak surveys. Accordingly, after installation of connected RMDs, the Companies will be able to reduce the frequency of associated inspections to reduce annual inspection costs without compromising customer or public safety. If the Advance Communication Infrastructure – RMD Program is approved, the Companies propose to change the frequency of BD inside leak surveys from annually to at least once every five years, within intervals not to exceed sixty-three months, after the RMDs are deployed to align these leak surveys with ACI inspection cycles required by 16 NYCRR § 255.481. Extending the survey cycles would reduce the O&M costs associated with BD leak surveys and ACIs in the Data Years following field installation in the Rate Year and Data Years. The anticipated O&M savings are included in the total change in O&M costs for the Inside Service Line Inspection program stated above and shown separately in Exhibit __ (GIOP-

7). The level of projected savings is contingent upon Commission approval of the Companies' Advanced Communication Infrastructure Program.

F. <u>Voluntary Integrity Management Program ("IMP") for Pipelines Operating Above 125 psig</u>

Q. Please explain the Companies' proposal for the Voluntary IMP.

A. Similar to the program adopted in the 2020 Niagara Mohawk Rate Case, the Companies propose to implement a voluntary IMP for pipelines operating at greater than 125 pounds per square inch gauge ("psig"). The primary benefits of this program are the ability to provide continuous, safe, and reliable natural gas to customers, and the ability to monitor external corrosion and third-party damages on pipelines. Adoption of the program would reduce system risk and further improve the safety of the Companies' gas systems.

Currently, KEDNY and KEDLI have 35 and 130 miles, respectively, of pipe on their systems operating at greater than 125 psig, but below specified minimum yield strength ("SYMS") of 20 percent. The federal regulations in 49 CFR Part 192, Subpart O do not require the Companies to include this population in their IMPs.

The voluntary program will inspect five miles of pipeline per year, with a cumulative total of 20 miles per company that will be inspected over the Rate Year and Data Years. Based on the initial assessment, the Companies have identified and prioritized certain pipelines across all areas of the service territories for inspection during this period. The Companies prioritized these pipelines based on the following criteria: (i) operating stress of the

pipeline; (ii) installation date; (iii) maximum allowable operating pressure of greater than 125 psig; and (iv) the population concentration around the pipeline. The Companies anticipate that this program will continue to address pipes not covered under other programs after the Rate Year and Data Years. The program will require operating expense of $1 million annually per company in the Rate Year and Data Years to support inspection, repair, and excavation costs.

The Voluntary IMP will also require incremental support from the Corrosion Control group. The Companies each propose to hire two corrosion technician FTEs in the Rate Year to support these expanded Corrosion Control activities. If approved, the Companies will immediately hire these FTEs to ensure they are available in the Rate Year. The costs for FTEs are shown in Exhibit___(RRP-3), Schedule 41, and supported by the RRPs.

G. <u>Damage Prevention Program Enhancements</u>

Q. Please describe the Companies' Damage Prevention Programs.

A. Damage to gas facilities from third parties digging near pipelines is a major cause of gas accidents and a contributing factor to some of the worst incidents in the history of the natural gas industry. In addition to the detrimental impacts on safety and reliability, utilities spend millions of dollars every year repairing damage caused by these incidents. Over the years, the utility industry and regulators have taken numerous steps to reduce the occurrence of third-party damage, including developing an effective and nationally recognized 811 "One Call" system that requires excavators to call 811 to request a mark out of all underground utility facilities prior to initiating work that requires digging.

The Companies have also taken additional steps to minimize third-party damage. The Companies use an internal management team to oversee third-party contractors who locate and mark the Companies facilities. The management team is comprised predominantly of field supervisors, who monitor and assess risk during construction activities. To further improve performance in this area, the Companies have implemented specific contractor oversight requirements and added additional resources, including a ticket risk assessment system to evaluate and prioritize one-call tickets, damage prevention patrols, and a comprehensive public training and outreach campaign. Additionally, the Companies' conduct outreach through the Damage Prevention Advisor program, where program advisors meet with and educate municipal personnel, excavators, and contractors on damage prevention awareness and other pipeline safety issues.

Although these programs and resources have generally proven successful over the past few years, third-party damage remains an issue due to increased construction activity. The Companies forecast increases in One Call ticket volumes, which result in incremental work locating and marking facilities, during the Rate Year and Data Years due to an increase in third-party and municipal projects, especially work generated by the federal Infrastructure Investment and Jobs Act. As a result, additional enhancements to the Companies' Damage Prevention activities are required to increase public education and mitigate safety risks and damages to facilities caused by third-party activities.

Q. What Damage Prevention Program enhancements are the Companies proposing in the Rate Year and Data Years?

A. The Companies request incremental funding to support increases in costs associated with their locate and markout contracts, Damage Prevention Advisor contracts, and One Call/Dig Safe support. Between CY 2021 and CY 2022, KEDNY and KEDLI experienced nine percent and five percent increases in damages, respectively. Based on recent trends, an increase in One Call ticket volumes is anticipated in the Rate Year and Data Years because of projected increases in municipal and third-party excavations resulting from projects to replace aging water and sewer systems, road reconstruction, and economic development in the Companies' service territories. An increase in municipal and third-party excavations will also increase the risk of damage to the Companies' facilities, especially considering recent increases in damages due to excavator errors. Thus, the Companies anticipate the need to provide additional third-party education, conduct investigations, add additional oversight of locating staff, and continue to visit and monitor third parties with repeat damages.

The Companies' locate and markout and Damage Prevention Advisor programs utilize contractor resources to conduct the required field and outreach activities. The Companies are currently in negotiations to revise these contracts to increase the scope of work and level of support provided in the Rate Year and Data Years. For KEDNY, the necessary contract amendments will result in incremental O&M costs of $1.146 million in the Rate Year, $1.533 million in Data Year 1, $1.932 million in Data Year 2, and $2.343 million in Data Year 3. KEDLI's incremental O&M costs are $0.712 million in the Rate Year, $0.871

million in Data Year 1, $1.035 million in Data Year 2, and $1.203 million in Data Year 3. These changes are reflected in Exhibit __ (GIOP-7) to KEDNY and KEDLI's respective GIOP testimonies. The Companies are not requesting incremental FTEs. Instead, the Companies propose to manage the forecast program increases through contractor resources.

Given the projected increase in workload, the Companies believe that the incremental funding requested is needed to maintain compliance with current Damage Prevention metrics (discussed below), and failure to allocate additional resources to Damage Prevention may compromise the Companies' ability to meet the aggressive annual targets.

H. <u>Gas Pipeline Safety and Compliance</u>

Q. Is the Companies' Gas Pipeline Safety and Compliance ("GPSC") group proposing any improvements in the Rate Year and Data Years?

A. Yes. As discussed below, the GPSC group proposes to hire 11 FTEs to conduct controls testing work and for quality assurance ("QA") and continuous improvement activities.

Q. Please describe the proposals related to controls testing/compliance testing work.

A. The GPSC group performs controls testing work to ensure the Companies' gas pipeline safety controls are effective and operating as designed. For ineffective controls, the GPSC works with affected control owners to determine the root cause and contributing factors of control issues, and implement remediation plans that mitigate compliance and safety risks. The GPSC group's work contributes to safer operational practices for employees, the gas

system, and our customers. Six additional FTEs – four analysts and two compliance assurance positions – are needed in the GPSC group to conduct the expanded controls testing work, provide quality and compliance assurance, and provide expanded oversight. To ensure that FTEs are supporting the expanded workplan by the beginning of the Rate Year, some of the analyst positions will by hired in FY 2024.

Q. Please describe the Companies' proposal related to gas pipeline safety management (API RP 1173) improvements.

A. National Grid has been planning and developing its PSMS since 2017. As discussed above, the Companies are currently in the midst of a multi-year effort to improve the PSMS through implementation of the recommended pipeline safety management standards in API RP 1173. A recent third-party assessment conducted by API, which was confirmed by the Companies' internal reviews, determined there are two focus areas currently in need of improvement – internal stakeholder engagement and work management reviews. Stakeholder engagement is one of the API RP 1173 elements and required to establish connections across the different groups within the gas business to improve communication and awareness of employee roles, functions, and how they connect to the pipeline safety elements. The Companies need to develop, and subsequently manage, a strategic internal stakeholder plan to improve performance against this pipeline safety element. Management reviews are also a critical step in improving pipeline safety culture and driving continuous improvement company-wide across the API RP 1173 elements. Additional staffing resources will address the identified needs to implement the pipeline safety improvements noted above and decrease and/or mitigate the risk associated with

pipeline operations and potential pipeline safety incidents. The Companies request three incremental FTEs in this area – two FTEs for internal stakeholder management to support awareness and stakeholder engagement per API RP 1162, and one FTE for management reviews and to drive continuous improvement towards the API RP 1173 elements. The FTEs would be hired at the Service Company level and allocated equally to KEDNY and KEDLI.

Q. Do the Companies' have any additional GPSC FTE proposals?

A. Yes. Two additional FTEs are requested – one FTE in the Process Management and Performance Improvement department to support continuous improvement of the PSMS and the compliance assessments that impact the pipeline safety elements, and a manager FTE to enhance the management of change process to stay current with any pending regulatory and industry changes, ensure changes are communicated throughout organization, and update internal policies and procedures accordingly.

I. Gas Safety Public Awareness Program

Q. Please describe KEDNY's proposal for a gas safety public awareness campaign.

A. During the Rate Year and Data Years, KEDNY proposes to implement a direct-mailing campaign to increase pipeline safety public awareness in its service territory. The four-year campaign will target multi-dwelling locations to reach nearly 1.4 million stakeholders who currently use gas service but may not receive a KEDNY service bill and, therefore, may not be receiving important gas safety information included as part of KEDNY's current bill-insert messaging. Among other gas safety messages, the direct mailings will

remind recipients to call 911 if they suspect any type of natural gas leak or natural gas emergency. The scope of work and program proposal was recommended by National Grid's public awareness consultant, Culver Company, a recognized expert in the utility public safety industry with over 45 years of relevant experience.

The messaging will be distributed on double-sided post cards sent via US mail to approximately 369,000 customers each year during the Rate Year and Data Years. The messaging will be updated, as needed, to reflect current company messaging and safety priorities. Annual program expenses are forecast at $0.288 million in each of the Rate Year and Data Years.

III. Gas Safety and Compliance Measures

Q. Are the Companies proposing revisions to their current gas safety and compliance measures?

A. Yes. The Companies' gas safety and compliance measures were set in the 2019 KEDNY and KEDLI Rate Cases with performance targets established for CYs 2020, 2021, and 2022, and 2023, continuing until changed by the Commission. The current targets are challenging, but potentially achievable, and ensure the Companies continue to stretch and improve their gas safety performance year-over-year. As discussed below, the Companies propose revisions to the existing targets to: (i) modify the performance targets for certain metrics, such as LPP retirement mileage and leak management targets, to ensure the metrics are reflective of the current state of the gas system while continuing to improve performance and reduce emissions; and (ii) hold damage prevention targets constant during

the term of the proposed rate plan. The Companies also propose limited incentives to encourage outperformance and productivity improvements.

It should be noted that the gas safety and compliance measures are measured on an annual calendar year basis. As such, references to adjustments in performance targets or implementation of new metrics and incentives are proposed to begin January 1, 2024.

Q. Please summarize the Companies' existing gas safety and compliance measure and proposal.

A. The Companies gas safety performance is measured against five categories: (i) LPP replacement, (ii) leak management, (iii) damage prevention, (iv) emergency response, and (v) gas regulations performance. A cap of 150 pre-tax basis points is at risk annually for failure to meet the safety targets established in the Joint Proposal approved in the 2019 KEDNY and KEDLI Rate Cases. The 150 basis points at risk are distributed across the categories of performance targets, which is consistent with other utilities in New York State, including Niagara Mohawk. The Companies propose to continue the pre-tax basis points and category distribution from the 2019 KEDNY and KEDLI Rate Cases, as illustrated in Table 1. Specific targets and measures for each category are set forth in more detail below.

Table 1: Summary of Proposed Safety Performance Measures and Negative Revenue Adjustment ("NRA") Exposure for KEDNY and KEDLI

Performance Measure	Basis Points at Risk CY 2020 - 2023	Basis Points at Risk CY 2024 – CY 2027
LPP Replacement	15	15
Leak Management	15	15
Damage Prevention	20	20
Emergency Response Time	25	25
Gas Regulations Performance Measure	75	75
Total At Risk	**150**	**150**

A. LPP Replacement

Q. What are KEDNY's and KEDLI proposals regarding LPP replacement mileage targets and incentives?

A. As discussed in KEDNY's and KEDLI's respective GIOP testimonies, the Companies propose to continue LPP replacement during the Rate Year and Data Years. Table 2 below provides the proposed mileage by company and CY. The Companies will also continue to replace leak-prone services in conjunction with LPP main removal efforts.

The Companies propose to continue the existing LPP replacement metric structure that sets forth a minimum annual threshold and a cumulative target. Specifically, as shown in Table 1 above, the Companies propose to continue the NRA of 15 basis points should they fail to remove from service a minimum target of miles of LPP in CYs 2024, 2025, 2026, and 2027 or a cumulative four-year total of LPP by the end of CY 2027.

Table 2: LPP Removal Proposal (15 Basis Points at Risk)

KEDNY	Calendar Year 2024	Calendar Year 2025	Calendar Year 2026	Cumulative (CY 2024-CY 2027)
Minimum Removal Targets	38	41	43	166 (cumulative minimum CY 2024 – CY 2027)

KEDLI	Calendar Year 2024	Calendar Year 2025	Calendar Year 2026	Cumulative (CY 2024-CY 2027)
Minimum Removal Targets	110	114	115	456 (cumulative minimum CY 2024 – CY 2027)

Q. What are the benefits of LPP replacement.

A. Removal of LPP improves system reliability and removes the risks associated with existing or future leaks and safety incidents. LPP replacement will also reduce gas losses and fugitive emissions of methane, and, as noted in the Climate Action Council's Final Scoping Plan, is not only necessary for safety reasons, but will also result in real emissions reductions.

Q. Are the Companies proposing LPP replacement incentives for improved productivity?

A. Yes. The Companies propose to reinstitute the LPP unit cost productivity incentive mechanism that was adopted in the 2016 KEDNY and KEDLI Rate Cases. The productivity incentive would allow the Companies to earn a positive revenue adjustment

("PRA") of up to ten basis points if the Companies can meet specific unit cost targets. The Companies also propose to continue the existing mechanism that allows for recovery of incremental LPP replacement unit costs up to 102 percent of unit costs allowed in rates through the Gas Safety and Reliability Surcharge ("GSRS"). The incentive mechanisms and proposed targets are set forth in the Companies' respective GIOP testimonies and illustrated in Exhibit __ (GIOP-3).

Q. Please summarize the Companies' LPP proposal.

A. Overall, the Companies' LPP proposal sets annual replacement targets and ensures the Companies will collectively replace a cumulative total of 622 miles of LPP over the four-year period from CY 2024 – CY 2027 (with associated NRAs for failing to achieve the LPP removal targets set forth in Table 2), while providing incentives to more efficiently remove LPP each year. The proposal provides flexibility to target additional replacements when resources are available and other opportunities are presented to complete the work more cost effectively. The surcharge mechanism ensures that the Companies will recover LPP replacement costs only to the extent they are successful in delivering their programs.

B. <u>Leak Management</u>

Q. Please describe the Companies' current leak management performance metric, incentives, and performance against targets.

A. The current leak backlog performance metrics and incentives were established in the 2019 KEDNY and KEDLI Rate Cases. The performance metrics set specific annual leak backlog targets for workable leaks (Types 1, 2, and 2A) and total leaks and imposed NRAs

for failure to meet targets, as shown on Table 3 below. With the exception of CY 2020 performance, KEDNY's total leaks target is reduced by 150 leaks each year, and KEDLI's total leaks target is reduced by 750 leaks each year.

Table 3: CY 2020 – CY 2024 Leak Backlog Metric

KEDNY Leak Metric	Target		Negative Revenue Adjustment
Workable Leaks (Type 1, 2, 2A)	Each CY	≤ 20	10 basis points
Total Leaks	CY 2020	2,250	5 basis points
(Type 1, 2, 2A, 3)	CY 2021	1,800	
	CY 2022	1,650	
	CY 2023	1,500	
	CY 2024	1,350	

KEDLI Leak Metric	Target		Negative Revenue Adjustment
Workable Leaks (Type 1, 2, 2A)	Each CY	≤ 20	10 basis points
Total Leaks	CY 2020	6,700	5 basis points
(Type 1, 2, 2A, 3)	CY 2021	5,750	
	CY 2022	5,000	
	CY 2023	4,250	
	CY 2024	3,500	

Additionally, the Companies are incentivized to repair incremental leaks. Each company is permitted to earn a PRA of two basis point for each 100 leaks eliminated, up to a

maximum of six basis points per year. Each company also has the ability to recover the costs associated with incremental leak repairs above targets. The Companies must achieve both annual backlog reduction targets to qualify for the PRA.

Q. Please explain the Companies' proposal for the leak management metrics and incentives.

A. The Companies propose to retain the annual reduction of the leak target of 150 leaks for KEDNY and implement phased annual reduction targets for KEDLI. A change to KEDLI's target is being proposed based on KEDLI's prior performance against the metric and the current leak backlog. KEDLI's performance in CY 2021 and CY 2022 earned PRAs of four and two basis points, respectively. The leak backlogs were reduced accordingly in each subsequent calendar year, with the additional leak reduction targets of 750 annually from the Joint Proposal. Continuing the existing rate of reduction is not sustainable, as KEDLI has more than 3,000 miles of LPP remaining in its inventory and most of the leak backlog will be eliminated by LPP replacement in the coming years. Therefore, phased reduction targets of 650 leaks for CY 2026 and 550 leaks for CY 2027 are proposed for the rate plan.

The Companies propose to continue the adjustment factor to the leak backlog metric that reduces the annual target based on the prior year's performance if a PRA is achieved. The Companies also propose to retain the existing GSRS cost recovery mechanism for incremental leak repairs that is shown in Exhibit __ (GIOP-3). To avoid the situation where leaks identified in the final days of the year frustrate the Companies' ability to meet its

year-end targets, the Companies propose that they will be deemed as having met the leak targets if achieved any time between December 21 and December 31 of the respective CY. The proposed new metrics and incentives for each company are presented in Table 4.

Table 4: Proposed Leak Backlog and Incentive Structure (15 basis points at risk)

KEDNY Leak Metric	Target		Negative Revenue Adjustment
Workable Leaks (Type 1, 2, 2A)	Each CY	≤ 20	10 basis points
Total Leaks (Type 1, 2, 2A, 3)	CY 2024	1,350	5 basis points
	CY 2025	1,200	
	CY 2026	1,050	
	CY 2027	900	

* CY 2024 target is based on a 150-leak reduction from CY 2023 rate case target.

KEDLI Leak Metric	Target		Negative Revenue Adjustment
Workable Leaks (Type 1, 2, 2A)	Each CY	≤ 20	10 basis points
Total Leaks (Type 1, 2, 2A, 3)	CY 2024	3,200	5 basis points
	CY 2025	2,450	
	CY 2026	1,800	
	CY 2027	1,250	

* CY 2024 target is based on a 750-leak reduction from CY 2023 rate case target, plus an additional 300 reduction resulting from PRAs earned in CY 2021 and CY 2022.

The Companies also propose to continue to report on their annual leak backlogs no later than 30 days after the end of each CY.

Q. Have the Companies made any adjustments to account for the incremental leaks repaired during the Historic Test Year?

A. Yes. The Companies adjusted the Historic Test Year for KEDLI to remove incremental leaks repaired for which KEDLI received cost recovery through the GSRS. This adjustment is reflected in the RRP testimony, Exhibit __ (RRP-3), Schedule 2.

C. <u>Emergency Response</u>

Q. What are the Companies' proposals for the emergency response metrics?

A. The Companies propose to maintain the existing metric that is based on statewide performance targets established for this performance measure and the existing mechanism for excluding instances of 20 or more odor calls in a two-hour period from a mass odor issue not caused by the Companies, contingent upon Staff's consent. Specifically, the Companies propose the metrics set forth in Table 5, below:

<u>Table 5</u>: Emergency Response Proposal (25 basis points at risk)

Required Response Time ("RRT")	Calls that must be responded to within RRT	NRA for failure to meet RRT
30 minutes	75%	12 basis points
45 minutes	90%	8 basis points
60 minutes	95%	5 basis points

Q. Are the Companies proposing an emergency response incentive?

A. Yes. The Companies propose to continue the incentive established in the 2019 KEDNY and KEDLI Rate Cases that allow the Companies to earn a PRA of up to six basis points for meeting leak and odor call response targets as shown in Table 6, below.

Table 6: Emergency Response Incentive

Emergency Response Incentive	Response within 30 minutes		
Response Rate	86% - 87.99%	88% - 89.99%	≥ 90%
PRA	2 basis points	4 basis points	6 basis points

D. Damage Prevention

Q. What are the Companies' proposals for the damage prevention metrics and incentives?

A. The Companies track, measure, and count damages in this category in accordance with the guidelines for data reporting for the Annual Pipeline Safety Performance Measures Report, excluding homeowners and hand damages that did not provide a One-Call ticket. The 2019 KEDNY and KEDLI Rate Cases established annual damage prevention targets that decreased annually to challenge the Companies to reduce the number of damages experienced each year. In this case, the Companies propose a metric that maintains the challenging CY 2024 performance level set in the prior rate case in the Rate Year and Data Years. The Companies do not believe further target reductions would be sustainable or achievable going forward because such decreases would require funding for additional FTEs, enhanced locating and excavation equipment, and additional education and outreach

activities beyond anticipated program levels. Further, the potential influx of work generated by the federal Infrastructure Investment and Jobs Act will make it challenging to forecast future municipal construction activities, which impact the level of third-party excavation that could affect the Companies' metrics.

The Companies also propose to continue the damage prevention incentive PRA of up to ten basis points if certain targets are met. The proposed metric and incentive targets are presented in Table 7, below.

Table 7: Proposed Damage Prevention Metric and Incentives

(20 basis points at risk)

KEDNY and KEDLI Overall Damages Per 1,000 One-Call Tickets			
	Basis Points	**CY 2024 from Current Joint Proposal**	**CY 2024-CY 2027**
NRA	20	>3.50	>3.50
NRA	10	3.26 to 3.50	3.26 to 3.50
NRA	5	3.01 to 3.25	3.01 to 3.25
	0	1.51 to 3.00	1.51 to 3.00
PRA	5	1.26 to 1.50	1.26 to 1.50
PRA	10	≤1.25	≤1.25

E. Gas Regulations Performance Measure

Q. Please describe how the Companies currently measure performance against safety regulations.

A. KEDNY and KEDLI are currently subject to a Gas Safety Regulations Performance Metric that exposes the Companies to significant NRAs (up to 75 pre-tax basis points) based on violations of certain Commission's rules and regulations contained in 16 NYCRR Parts 255 (Transmission and Distribution of Gas) and 261 (Piping Beyond the Meter) and Title 49 Part 193 of the Code of Federal Regulations (for Liquified Natural Gas ("LNG") operations) that are set forth in Appendix 8 of the Joint Proposal approved in the 2019 KEDNY and KEDLI Rate Cases. The violations are determined by Staff's annual field, records, and LNG audits. The metric imposes an NRA based on occurrences and violations identified during these audits in accordance with specific targets. The number of occurrences of non-compliance with each "high risk" and "other risk" regulation is capped at ten per audit type (field, record, or LNG) per CY. The CY 2022 exposure under this metric was up to approximately $28.806 million and $18.738 million for KEDNY and KEDLI, respectively.

Q. What are the Companies' proposals regarding the Gas Regulations Performance Measure?

A. KEDNY and KEDLI take compliance with the Commission's regulations, especially regulations affecting the safe operation of the Companies' gas systems, very seriously. The Companies do not propose any changes to the current metric. The existing metric structure, which, as of 2023, includes violations of LNG regulations, will continue to challenge the

Companies to improve their performance and work towards reductions in the number of safety violations assessed in the Rate and Data Years. Additionally, the existing metric aligns with the metric adopted for Niagara Mohawk and allows for consistency between audits for the upstate and downstate service territories. The Companies' proposal is reflected in Table 8, below.

Table 8: KEDNY & KEDLI Proposed Gas Safety Regulations Performance Metric

CY 2024 – CY 2027 (75 basis points at risk)

Audit	Type	Occurrence	Basis Points
Records	High Risk	1 to 5	0
		6 to 20	0.5
		21+	1
	Other Risk	1-15	0
		16+	0.25
Field	High Risk	1 to 20	0.5
		21+	1
	Other Risk	All	0.25

The Companies propose to maintain the other features of the metric that are currently in place, including: the per audit cap of ten occurrences of non-compliance with particular high or other regulations in a calendar year; the requirement for submission of a compliance improvement plan to Staff and development of a mitigation plan in the event of more than ten occurrences with a particular high risk or other regulation and procedures following audit results; that any alleged occurrence of non-compliance with a high risk or other risk regulation that is subject to a separate penalty proceeding by the Commission will not count toward the performance measure; that any non-compliance event that encompasses more

than one code section (*e.g.,* a violation of a gas safety regulation and a company operating procedure under 16 NYCRR 255.603(d)) will count as one occurrence for purposes of calculating a NRA; and deferral of NRAs for future use to fund gas safety and compliance improvement programs.

Q. Do the Companies intend to continue to report on performance against each of the above categories of gas safety and compliance measures?

A. Yes. The Companies will report annual performance in each of the areas set forth above to the Commission's Secretary by April 1 following the end of each CY.

Q. Does this conclude your testimony?

A. Yes.